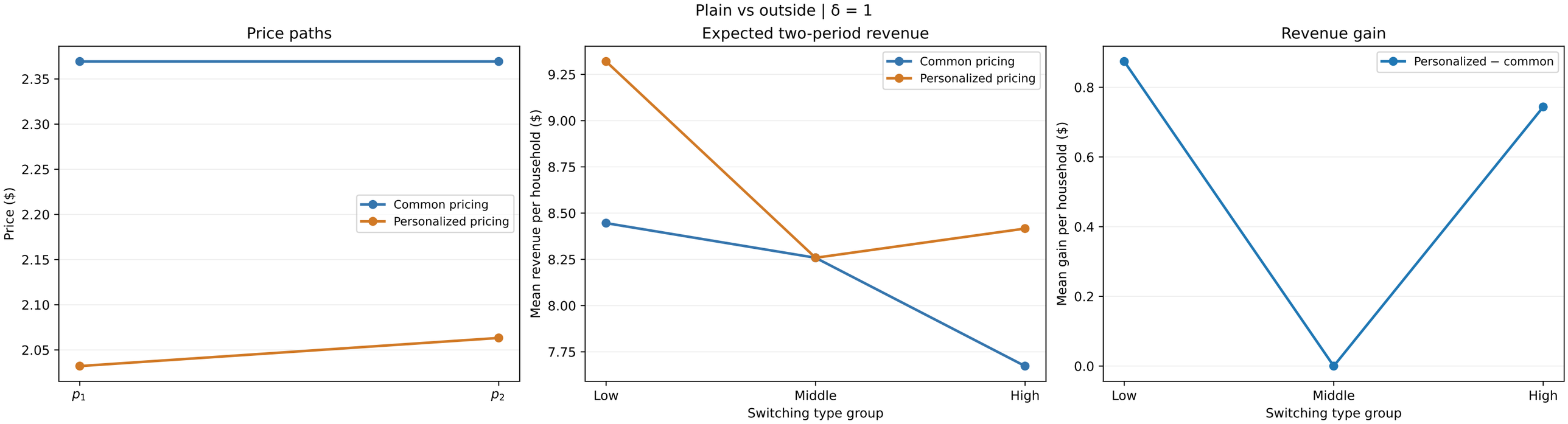
Plain vs outside | δ = 1
Price paths
Price ($)
2.35
2.30
2.25
2.20
2.15
2.10
2.05
Common pricing
Personalized pricing
p_1
p_2
Expected two-period revenue
Mean revenue per household ($)
9.25
9.00
8.75
8.50
8.25
8.00
7.75
Common pricing
Personalized pricing
Low
Middle
High
Switching type group
Revenue gain
Mean gain per household ($)
0.8
0.6
0.4
0.2
0.0
Personalized − common
Low
Middle
High
Switching type group